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While the world was going into a lockdown in March 2020 because of the Covid-19 pandemic, US-headquartered Flex had to accelerate production. After all, the world's largest contract manufacturer made products such as smartphones, laptops, data centre infrastructure and healthcare equipment, among others—for which demand suddenly went up. Leading Flex through those challenging times was Revathi Advaiti, who had taken over as CEO in February 2019. The \$24-billion Flex has operations across some 30 countries, 100 manufacturing locations, and has 165,000 employees on its rolls. Advaiti, 54—who is based in San Jose and is a mechanical engineer from BITS, Pilani, with an MBA from Arizona State University's Thunderbird School of Global Management—joined Flex after stints at power management firm Eaton and technology major Honeywell. In an interaction with *Business Today's* **Nidhi Singal, the Flex CEO talks about India's manufacturing story, the government's production-linked incentive (PLI) scheme, and skilling, among other things. Edited excerpts:**

Q: Flex has six manufacturing facilities in India. Where does the country stand in the company's scheme of things?

A: We have our presence in and around Chennai for manufacturing. We also have big infrastructure [facilities]—I don't like to call it back office because it's really not back-office support for our teams based in India. We have 18,000 employees in India in manufacturing and in the kind of support side of [the business that we] need for [our] global requirements.

The way I think about our presence in India in terms of manufacturing is mainly around the consumer devices side of the business. And then [we are] developing more into the infrastructure side—the CEC (Communications, Enterprise and Cloud) infrastructure side of the business. Those are the two big areas of presence that we have today in India.

The growth in India has to come from your customers and [they need to] see value for the [services] provided; [and] are they willing to pay for that value? And can we be competitive to provide that value? So things like the PLI scheme really help; because as you're trying to build a local economy... and as you're trying to help build a manufacturing sector in India, you need those kinds of support structures to really develop it to get scale [so that] it's competitive and has its own legs. So I'm very supportive of those types of incentives and infrastructure support that the Indian government is providing today for things of scale. Our customers are taking advantage of that. We are partnering with our customers to take advantage of that.

But I think India still has work to do, to build a holistic infrastructure. Because it's not just about [whether] you can build cell phones or laptops—those are just assembly and test [facilities as a] lot of the materials for these products still come from places like China. So to build a vertically integrated supply chain and to add more [products], work has to be done. Because things like capacitors and resistors that go into electronic products are still very competitive, coming out of areas like China. And that's going to require continued investment by the Indian government to build that kind of supply chain infrastructure. Companies will stay here for global production only if it makes sense to make in India and ship from India. The good news is that [there is] enough domestic consumption and again a support group for the local infrastructure itself, but to be globally competitive there has to be a public-private partnership (PPP) to build a vertically integrated supply chain that can be resilient for the long term. That's really important.

Q: Companies which are manufacturing in India are eligible to apply for the PLI schemes. Have you applied for these schemes, and if so, in which sectors?

| 60